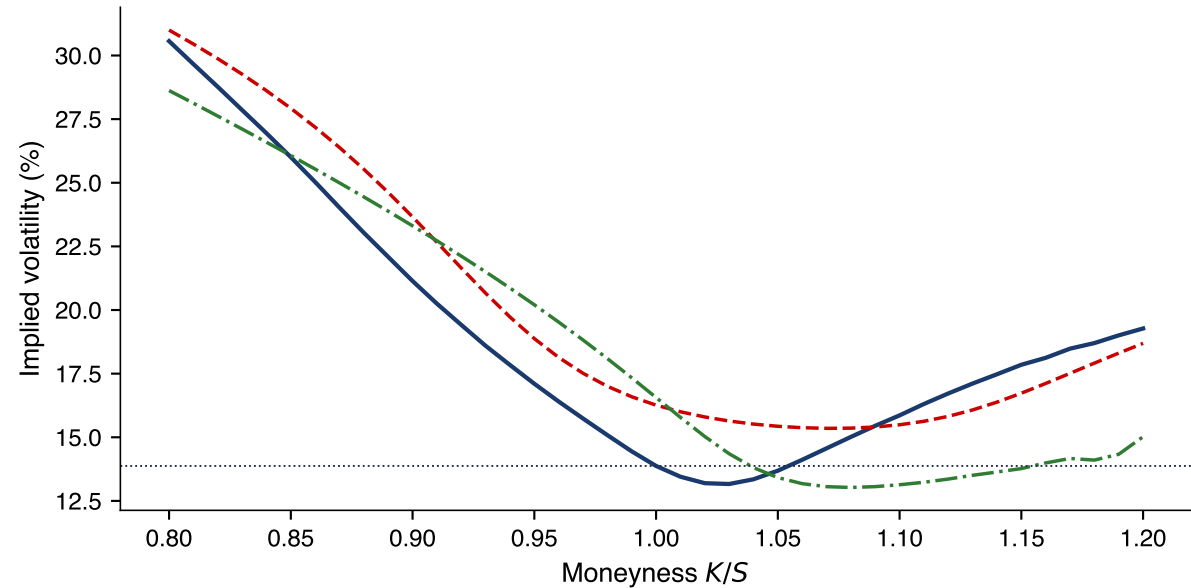




- Historical one-month S&P 500 returns, 1990-2026 (fat tails)
- - Merton jump-diffusion: one crash a year of -8% on average
- . - Heston stochastic volatility, $\rho = -0.7$
- Black-Scholes: one volatility for all strikes